

How to Choose the Right Stock to Purchase

Lesson 4: Reading a Stock Quote

Reading a Stock Quote – Study Notes

Key Concepts

1. **Last Trade Price & Change** – What the most recent transaction tells you about current value and momentum.
2. **Volume & Average Volume** – How many shares changed hands and what that says about liquidity and interest.
3. **Bid / Ask & Spread** – The best prices buyers are willing to pay vs. sellers are asking, and why the spread matters.
4. **Market Depth (Level II)** – The stack of pending orders beyond the best bid/ask, showing supply demand layers.
5. **Time & Sale / Tick Data** – Real time updates that help you see the flow of trades and confirm price moves.

Summary

A stock quote is a snapshot of market activity for a particular security at a specific moment. The most visible numbers are the **last trade price**, the **price change** (both absolute and percentage), and the **volume** of shares traded during the current session. Together they give you a quick sense of where the stock is trading relative to its recent history and how much market participation is occurring.

Beyond the headline price, the **bid and ask** prices reveal the immediate supply demand balance. The **bid** is the highest price a buyer is willing to pay; the **ask** (or offer) is the lowest price a seller will accept. The difference between them—the **spread**—is a key indicator of liquidity: tight spreads usually mean a highly liquid, actively traded stock, while wide spreads suggest lower liquidity or higher uncertainty.

For a deeper view, **market depth** (often shown as Level II data) lists multiple price levels of pending buy and sell orders. By examining the depth you can gauge where significant support or resistance may form, anticipate short term price moves, and spot large hidden orders that could impact the market once they are executed. Understanding these components lets you interpret the quote screen quickly and make more informed trading decisions.

Important Points

- **Last Trade Price**
 - The price of the most recent executed transaction.
 - Updated continuously during market hours.
- **Change** (9B' b R 6† ævR¢¢)
 - 9B Ò Æ 7B ice – Previous Close.
 - Positive 9B Ò ice up; negative 9B Ò ice down.

- % Change = $(\text{9B} - \text{Previous Close}) \times 100$.
 - **Volume**
- Number of shares traded today.
- Compare to **Average Daily Volume (ADV)** to assess relative activity.
 - **Bid / Ask**
- **Bid** = highest price a buyer currently offers.
- **Ask** = lowest price a seller currently demands.
- **Spread** = Ask – Bid. Tight spread !' high liquidity; wide spread !' low liquidity or volatility.
 - **Market Depth (Level II)**
- Shows multiple rows of bid and ask sizes at different price levels.
- **Depth of Market (DOM)** helps identify potential support/resistance zones.
- Large orders (“walls”) can influence price direction when they are hit or withdrawn.
 - **Time & Sale (Tape)**
- Lists each trade with time, price, and size.
- Useful for confirming whether price moves are backed by real trades or just quote updates.
 - **Pre Market & After Hours**
- Quote screens often display extended hours prices; liquidity is usually lower, spreads wider.

Examples

Example 1 – Interpreting a Basic Quote

XYZ Corp (XYZ)

Last: \$27.45 9B 2C 32 R 2 R

Volume: 1,240,000 Avg Vol: 800,000

Bid: \$27.44 × 300 Ask: \$27.46 × 250

Explanation

- The stock is up \$0.85 (3.2%) from yesterday's close, indicating bullish momentum.
- Today's volume (1.24 /M) exceeds the average (800 /K), confirming strong participation.
- The bid ask spread is \$0.02, a tight spread that signals good liquidity.
- The bid size (300 shares) and ask size (250 shares) are modest; a larger imbalance could hint at short term pressure.

Example 2 – Using Market Depth

Level II (partial view)

Bid	Ask
\$27.44 400 @ 200	\$27.46 300 @ 150
\$27.43 1,200 @ 80	\$27.47 800 @ 120
\$27.42 2,500 @ 60	\$27.48 1,600 @ 90

****Explanation****

- At \$27.44 there is a ****400 share bid****; the next level down (\$27.43) has a much larger ****1,200 share bid****, forming a potential support zone.
- On the ask side, \$27.46 holds only 300 shares, but \$27.47 has 800 shares, suggesting a modest resistance level just a cent higher.
- If a market sell order sweeps the 400 shares at \$27.44, price may dip to \$27.43 where more buying interest resides.

Quick Review

1. What does a tight bid ask spread usually indicate about a stock's liquidity?
2. How can you tell if today's trading activity is unusually high from the quote screen?
3. Why is it useful to look at the "Time & Sale" tape in addition to the last price?
4. In market depth, what does a large "wall" of bids or asks suggest?
5. How would you interpret a stock that shows a positive price change but volume far below its average daily volume?

Further Reading

- ****Level II Data & Order Book Dynamics**** – deeper dive into interpreting depth charts and hidden orders.
- ****Volume Weighted Average Price (VWAP)**** – using volume to assess trade quality.
- ****Bid Ask Spread Strategies**** – how day traders exploit tight spreads.
- ****Market Microstructure**** – the theory behind price formation, order flow, and liquidity.
- ****Extended Hours Trading**** – risks and opportunities when trading pre market or after hours.

